Micron Technology, Inc.

MU NASDAQ

Buy	$910.43 ▼ 5.83%	12M Price Target	52-Week Range	Market Cap
		$1100.00	$114.25 – $1255.00	N/A

MU: Chip Selloff Overdone, CHIPS Act Tailwind Intact

WHAT HAPPENED

- MU dropped 5.8% yesterday as the whole chip complex got hammered — this wasn't MU-specific news, it was fresh US sanctions on Iran spooking risk assets and traders taking profits on the biggest AI winners (MU is up ~981% off its lows, per that Motley Fool piece). Classic "sell what worked" day.
- Futures are green pre-bell and MU is called higher — Treasury yields dropping (meaning bond investors are getting less nervous, which is good for expensive growth stocks) is bringing the dip-buyers back into semis.

WHY IT MATTERS

This looks like a shakeout, not a top. The unusual call buying at $900/$910/$915 strikes (nearly $50M in notional bets) tells me smart money used yesterday's dump to load up on upside — they think this bounces fast. Bigger picture: the CHIPS and Science Act is still funneling billions into Micron's Idaho and New York fabs, and the Trump administration's push to reshore semiconductor manufacturing has only intensified with the recent tariff framework on Chinese-made chips. That's a structural moat — Micron is one of the few US-domiciled memory makers, which matters more every quarter as export controls tighten.

POLICY & POLITICAL WATCH

Two things to watch: (1) the ongoing implementation of Section 232 semiconductor tariffs — if the administration expands them to cover finished memory products imported from Korea, that's a direct win for Micron vs. Samsung and SK Hynix. (2) Congress is debating an extension/expansion of the CHIPS Act investment tax credit (the 25% credit for fab construction) — if that gets bumped to 35% in the year-end tax package, MU's roughly $50B in planned US capex gets meaningfully cheaper. The regulatory wind is firmly at their back right now.

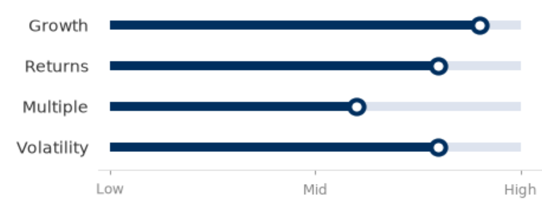
IS IT EXPENSIVE?

At ~$910, MU trades around 46x this year's earnings and ~22x EV/EBITDA — meaning investors are paying $46 for every $1 of profit and roughly $22 for every $1 of cash operating profit. That's not cheap on the surface, but memory is cyclical and we're likely mid-cycle, not late — HBM (high-bandwidth memory that goes into every Nvidia GPU) is sold out through 2026, and pricing is still rising. Compared to Nvidia at 40x+ forward earnings with slower growth ahead, MU actually looks reasonably priced for the AI exposure you're getting.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$910.43**
12M Price Target	**$1100.00**
Upside / (Downside)	**+20.8%**
Market Cap	**N/A**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$61,200M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.80**
Fwd P/E	**64.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-08-25 13:26 UTC
This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | August 25, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$960.00	**$830.00**
6 Months	**$1200.00**	$1050.00	**$780.00**
1 Year	**$1400.00**	$1100.00	**$720.00**
2 Years	**$1800.00**	$1350.00	**$650.00**
5 Years	**$2500.00**	$1700.00	**$500.00**
10 Years	**$3500.00**	$2200.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Financials led yesterday — classic defensive rotation on the Iran sanctions headline. Financials also benefiting from the yield curve steepening story.

COOLING OFF: Semis and mega-cap tech took the brunt of the selling — but this feels like profit-taking, not a trend change. Nothing fundamental broke.

ROTATION WATCH: Money briefly rotated to safety yesterday but is already flowing back into tech pre-market. The question is whether this is a one-day flush or the start of a broader "de-risk the AI trade" move — I lean flush.

RELATED PLAY: If MU bounces, watch the memory equipment names (Lam Research, Applied Materials) — they sell the tools MU uses to build fabs, and CHIPS Act money flows through them too.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Bouncing pre-market with MU — every HBM chip MU sells goes into an NVDA GPU, so they trade together.
- SNDK (Sandisk): Called out in the IBD headline as rallying — NAND flash pricing is firming alongside DRAM, which is a positive read-through for MU's storage business.

MU CONTEXT: MU is roughly in-line with peers on the bounce, which tells me the selloff was macro/sentiment-driven, not company-specific. If it were leading the recovery, I'd say buy aggressively; since it's in-line, treat this as a normal dip-buy opportunity rather than a screaming bargain.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I like this setup a lot; the only reason it's not a 9 is the stock has already run 981% and cyclicals don't go up forever.

POSITION SIZE: 3-5% of portfolio — enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on dips to $880-910; if we get a real washout to $830, back up the truck.

TIME HORIZON: 12-24 months — the catalyst is FY2027 HBM revenue ramping plus potential CHIPS Act credit expansion in the year-end tax bill.

WHEN TO BAIL: HBM ASPs decline sequentially for two straight quarters, OR Samsung officially qualifies at Nvidia's next-gen platform, OR the stock breaks $780 on heavy volume.

HEDGING: If you're nervous, buy puts around $850 for downside insurance (costs a bit but caps your loss), or pair the long with a short in a weaker DRAM name so you're betting on MU being the best-in-class winner rather than betting on the whole sector.

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